

MEMORANDUM

THE WHITE HOUSE
WASHINGTON

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By AR NARA Date 11/10/07

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MEMORANDUM FOR THE PRESIDENT

FROM: Henry A. Kissinger

SUBJECT: Mid-East Issues--NSC Meeting Wednesday, June 10

The situation in the Middle East is now the most dangerous we face. It is difficult to see how the situation in Southeast Asia could produce a major-power war. It is easy to see a number of ways the situation in the Mid-East could. Moreover, the question of the U.S. position there giving way to Soviet predominance is no longer academic. The decisions to be faced now will have an important effect on how the situation develops.

Implications of the Soviet Presence in Egypt

The character of the Soviet move in the UAR should not be underrated.

You may hear the argument made (by Defense) that this move was precipitated by Israeli action or that it is purely defensive and does not threaten Israel. These arguments do not meet the main point: This is a unique turn of Soviet policy--never before have the Soviets put their own forces in combat jeopardy for the sake of a non-Communist government.

It is argued that now the Soviets have rescued Nasser both of them may suddenly change character and be prepared to negotiate seriously. This seems doubtful. Having scored a psychological gain with apparent impunity, it has generally been the Soviet tactic first to consolidate their gains and then to press forward, testing the ground as they move.

The problem, therefore, is not simply that the Soviet military presence may have, at a minimum, limited Israeli military options. The problem is that the USSR has established a new kind of foothold in the UAR and the U.S. has a strong interest in preventing its consolidation and expansion.

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Some Common Perceptions--A Critique

You will hear argument over what the U.S. interest requires and how far the U.S. should go in trying to check the USSR. Some of this argument rests on assumptions that should be carefully examined.

1. The Israeli view is that if Israel and the U.S. will only stand fast, the USSR and the Arabs will decide ^{to negotiate} this means that the U.S. must give Israel all the equipment it needs and make no concessions to the USSR.

The problem with this is that the Israelis have not really offered the Arabs a negotiating position the Arabs could even consider accepting. So the Arabs feel they have no choice but to fight. Thus the U.S. is left backing Israel in a war of attrition that seems likely to lead only to another war--probably involving the USSR--without any negotiating escape to offer Moscow.

2. The Defense Department view is that all we have to do is to get the Israelis off the Suez Canal to begin the process of reaching a settlement and that will prevent further erosion of U.S. influence. Their argument is that the U.S. has no interest in the Mid-East great enough to warrant a nuclear showdown with the USSR. The U.S. is militarily over-extended and has every interest in avoiding involvement in the Mid-East. Besides, the Arab-Israeli problem is not susceptible of military solution.

The problems with this view are that: (a) If the U.S. shows that it does not have enough interest in the Mid-East to warrant a showdown, then the USSR will never back off. (b) If Israel does not believe the U.S. will defend its existence against the USSR, Israel will have no incentive whatsoever to agree to a settlement based on withdrawal from present lines.

3. It is also commonly said that the Soviets are acting in the UAR purely in a defensive capacity and that the U.S., therefore, need not be concerned because the Soviets will not threaten Israel.

Yet it would be logical for the USSR to extend its influence as far as possible. The near term Soviet objective in the Middle East is to destroy Western influence. The main enemy is not Israel but the West in general and the U.S. in particular. Therefore, it must be assumed that the USSR will do all it can to that end--over and above defending their client.

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4. It is sometimes argued that the U.S. can only preserve its position in the Arab world by forcing Israeli withdrawal and placating the Arabs. The supposition here is that if there is a peace settlement the Arab radicals will cease to be a threat.

Arab radicalism, however, is not just a product of the Arab-Israeli impasse. It exploits that impasse for its own ends, but it has roots of its own and will still be present to attack Western interests if there is a settlement.

Considerations of Strategy

The problem is to develop a strategy that will bring into balance the following elements:

1. The Israeli quest for security. Israel views its margin as relatively narrow. Despite its clearcut military superiority on the present scene, its capacity to survive a long war of attrition is limited. Israel feels it must have some breadth of options in trying to cut off a war of attrition or it will feel hemmed in and compelled to strike out. The problem is to put enough pressure on Israel to demonstrate that its stand-fast strategy will not work and yet not so much as to make the Israelis feel they have lost the option to move preemptively.

2. The Arabs have two problems:

--The general problem is that Israel is asking Arab recognition as an entry price to a negotiation in which Israel will hold out for substantial acquisition of Arab territory. The Arabs--entirely apart from their political problems in giving up a principle--do not want to surrender their most valuable negotiating asset until they are sure they will get their territory back for it.

--The moderates' particular problem is that the radicals are exploiting anti-Israeli feeling to win the Arab world. They must have ambivalent feelings about a settlement. On the one hand, they want an honorable settlement.

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On the other, they cannot look complacently on the prospect of a Nasser whose forces are no longer tied down by Israel and are backed by Soviet combat personnel.

3. The problem of dealing with the Soviets is to balance between giving them a sense of the dangers of the present situation without denying them an escape. They do not want a confrontation with the U.S., and they will eventually have to help the Arabs get their territory back if they are to enhance their standing in the Mid-East. At the same time, they have an interest in controlled tension and in maintaining as large a military foothold in the area as they can.

Some Policy Issues

Against the background of the above considerations, it is important to examine some of the policy issues raised:

1. Is a political settlement really an alternative to confronting the USSR, or are the two correlated? The argument has been made (by Defense) that, since we want to avoid a confrontation with the USSR, the only alternative is a political settlement.

--On the one hand, a settlement is conceivable in which the radical Arabs are freed to turn their weapons against the moderates. The Syrians if no longer tied down by Israel would turn against Jordan and Lebanon; the Iraqis would turn against the moderates and Iranian interests in the Persian Gulf; Nasser against the Saudis and the moderates in the Gulf. Back of this would be a strong Soviet military position in the UAR. Nasser backed by the Russians would be a potent anti-Western, anti-moderate force. In other words a settlement is possible which would enhance rather than check Soviet opportunity.

--On the other hand, some methods of confronting the Soviets could create a situation in which Soviet influence expanded while the U.S. position was narrowed. If, for instance, the U.S. simply backed Israel in a long war of attrition, Arab reaction against the U.S. would gradually

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whittle away at U.S. influence, and the Arabs would have no one to turn to but the USSR.

The question is not whether we should confront the USSR or try for a political settlement. The question is how we can confront the USSR in trying for a political settlement and how we can improve chances for a political settlement by confronting the USSR.

2. A second issue is: Is a settlement conceivable through negotiations between the belligerents? Is any settlement conceivable that is not imposed?

--On the one hand, the argument has been made (by State) that the interests on both sides must be brought together so a genuine accommodation can be reached. Unless both sides face up by themselves to the requirements of this accommodation, there cannot be a settlement that will last.

--On the other hand, it can be argued that the problem is not that the two sides fail to understand each other's interests but that they understand those interests too well. The Arabs know the Israelis want territory in a settlement. The Israelis know that the Arabs will only grudgingly--and therefore with some thought of eventual reversal of position--accept Israel's existence. That is why there is not sufficient will on either side to reach a settlement.

If the second is at all true, then it remains for outsiders to devise a situation in which settlement of key issues--withdrawal and the recognition of Israel--is virtually forced on the parties along with security measures that make the settlement as enforceable as possible. If there is to be a settlement, it will have to be imposed, regardless of what facade of negotiation may be erected around it for tactical purposes.

3. The next issue is: How can Israel's aircraft requests best be related to the process of achieving a settlement? The two horns of the dilemma are:

--On the one hand, Israel will feel under the greatest pressure to resist a settlement based on withdrawal if it feels that it will not have the means to defend itself. Israelis would judge that their military needs in such a settlement would at least not diminish because it would be giving up its improved defensive positions.

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--On the other hand, providing aircraft to Israel now would jeopardize U.S. ability to work with the Arabs for a settlement. Moreover, if the Israelis had what they wanted from the U.S., there would be little incentive to accede to U.S. pressures for a settlement.

Without some commitment from the U.S. that Israel will have the means of defense, it is impossible to expect Israel even to consider withdrawal. The difficulty, therefore, is to combine this assurance with the implied threat of its withdrawal so as to produce the Israeli concessions necessary to peace.

4. The ultimate issue is: Can the U.S. induce Israel to withdraw to essentially pre-war borders in the context of a settlement?

--On the one hand, it is possible to argue (as Defense does) that Israel is so heavily dependent on the U.S. for military supplies and financial support that it cannot stand up against the threat of losing them. The other side of this argument is that nothing short of the clear threat of losing them will move Israel.

--On the other hand, it can be argued (as State does) that the only thing that will change Israel's policy is Israel's own realization that that policy will not work. The task of the U.S. is not just to threaten Israel's lifeline; that would leave Israel with no choice but to stay where it is behind its most defensible lines. The task of the U.S. is to make clear that neither Israel nor the U.S. can win in the present situation but to demonstrate that abundant U.S. support is possible in a changed situation.

The first approach to Israel should not be the threat of cutting off aid; Israel needs the assurance of U.S. support. The moment of truth comes when Israel says it will have to forego U.S. support if the price is withdrawal. Does the U.S. then cut off aid? The realistic choice at that point--having made a substantial offer to demonstrate good faith--is between an absolutely minimal flow of aid and a very substantial flow and not between aid and no aid.

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The Principal Options

The considerations above seem to eliminate the extremes. Backing Israel without qualification would give the Israeli Cabinet a controlling voice in setting the conditions for a U.S. -Soviet confrontation. Cutting ourselves off from Israel would leave Israel no incentive for a political settlement and would enhance the Soviet position. The two options that will be advanced at the NSC are:

1. The Defense Department proposal [a memo from Secretary Laird is in your briefing book] would involve denial of aircraft to Israel until Israel had agreed to a phased withdrawal. When Israel's future aircraft requirements are to be met, they should not be met with more attack aircraft like the Skyhawks and Phantoms but with fighter-interceptors more exclusively designed for defense. The Defense proposal would have us work step by step from a de facto cease-fire to partial Israeli withdrawal, demilitarization of vacated territories, reopening the Suez Canal to all nations and the beginning of formal peace negotiations.

The three main conclusions on which Defense bases this position are:

--There is no acceptable military solution to the present impasse. The indigenous belligerents can only fight to a stand-off. Soviet involvement could lead to a nuclear confrontation triggered either by a U.S. -Soviet clash or by Israeli introduction of nuclear weapons in desperation.

--The U.S. also has an interest in checking the spread of Soviet influence. U.S. sale of more attack aircraft now will contribute to further Soviet success in the Arab world.

--The expansion of the U.S. commitment to Israel by promising or implying that U.S. forces would be used directly to support Israel under any circumstances is unacceptable. If Israel surfaces nuclear weapons, the U.S. cannot afford to be involved.

The problem with this approach--viewed in the light of what is written above--is that it is likely to increase Israeli hysteria and the probability that Israel would feel compelled to fall back on nuclear weapons or to

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strike out, thereby triggering another war. It would provide no incentive for Israel to reach a settlement. It would encourage the Soviet feeling that they are achieving their objective, and there would be nothing to restrain them from further advances. Even if a settlement were achieved on this basis, it would leave the USSR strong and no sense among the moderate Arabs that they could depend on the U.S.

2. The State Department proposal [a memo from Secretary Rogers is in your briefing book] would involve a limited commitment of aircraft now pending outcome of a new effort to get negotiations started along with a clearly implied promise of continuing aircraft shipments in the fall. To understand this proposal, it is necessary to look in detail at the steps that would be taken:

--Tell Israel that the U.S. is going to make a direct approach to Nasser urging (a) acceptance of a cease-fire from July 1 to September 15 and (b) agreement to get indirect talks started under Jarring. If Nasser responds positively we would expect a positive Israeli response.

--Offer Israel three additional Phantoms each in July and August; as replacements, earmark four Phantoms and four Skyhawks per month for delivery starting in September through year's end. This would be subject to review only if negotiations between the parties showed signs of success. We would in any case make contingency plans for delivery sooner if there is a dramatic shift in the balance; other military requirements would continue to be met.

--Make a direct approach in Cairo urging (a) a ceasefire and military standstill [no further fortification on the Canal] from July 1 to September 15 and (b) agreement to begin indirect negotiations under Jarring promptly on the basis of a simple acceptance by both sides of the 1967 UN resolution. Israel would have to say it is willing to withdraw in accordance with the resolution and the Arabs would have to state their willingness to recognize Israel's existence if it withdraws.

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--Inform Nasser that we are limiting ourselves for the time being not to go beyond the 50 Phantom and 100 Skyhawk level committed in 1968 and 1966 but that further deferral of additional sales is only feasible in the context of a cease-fire and negotiations. [This would be true because 6 Phantoms from the original contract for 50 are of a special configuration not to be delivered until 1971, and 3 have been lost. Original Skyhawk deliveries are not scheduled for completion before September.]

--After Cairo had been approached the USSR would be urged to support our effort. However, the primary emphasis would be on direct contacts between Washington, Cairo, Tel Aviv (and Amman). [Secretary Rogers' memo recognizes that more must be done to "reflect our resolve to the USSR," but it recommends only that you direct him and Secretary Laird to make a high priority study of this aspect.]

There are several problems with this approach:

--Above all, it is not clear what the objective is. If it is conceived as a first step toward an imposed settlement, then it could have merit. If not, it is not likely to produce any but minimal interim results. If so, then this should be recognized at the outset because trying to impose a settlement would have political costs. The key decision in imposing a settlement is whether the U.S. is prepared to intervene to settle the boundary issue by pressing Israel's return to very nearly pre-war borders in Jordan and the Sinai in return for enforceable security arrangements.

--Second, a related point is that by making success depend on negotiations with Jarring, this would dilute direct U.S. influence and lessen chances of success. It would be hard enough to impose a settlement on U.S. terms without working through someone who has not proved himself as very imaginative or forceful.

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--Third, we would be asking Israel to agree to the principle of withdrawal in return for six Phantoms plus implied promise of 16 more by year's end along with perhaps another ten Skyhawks. What the Israelis would do would depend on how they interpreted our offer. If they just see themselves getting six more Phantoms, then the incentive will be to keep present borders. If they think they will get planes only if negotiations are not promising, there will be no incentive making negotiations succeed. Since there are already serious obstacles to success, it is not hard to see this as a decisive disincentive. Moreover, this still leaves us with another aircraft decision to be made in September just as the proposed cease-fire would be ending.

--Fourth, there is no provision in this proposal to convince the USSR that it will face a more difficult situation if the present situation continues than if there is a settlement. It shows the Soviets too much hesitation.

In short, the Defense proposal seems a non-starter. The State proposal has merit--but only if it is considered as a step toward imposing a settlement. Otherwise, its chances of success are slim and it would seem likely to leave us worse off three months from now than we are now.

For the sake of illustrating a modification of the State proposal to take care of some of the above objections, I am attaching a possible "third option."

Conduct of the NSC Meeting

I recommend that you make clear at the end of this meeting that you will need time to decide and that no action should be taken yet. This is necessary to maintain your control over timing of any action and to give you time to consider refinements (or alternatives) to the course of action proposed. In any case, you should have a final look at a detailed course of action before implementation begins.

In your briefing book are talking points and the memos from Secretaries Laird and Rogers. Also, there is a good short CIA paper on the Soviet impact on the Arab-Israeli balance. A much fuller study has been completed but this fairly reflects its conclusions.

Attachment: "A Third Option"

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A THIRD OPTION

The purpose of this illustrative course of action is to show how two shortcomings in the State proposal might be met: (1) Instead of dribbling out the aircraft, it offers a large number at once with the thought of withholding delivery. (2) It addresses the Soviet problem more directly. This would involve the following:

--Make this approach directly to Nasser: The U.S. is prepared to press Israel to withdraw essentially to pre-war borders provided Nasser is willing to commit himself to us now and in a formal agreement later to specific arrangements for establishing and enforcing peace. The U.S. is the only government that can attempt this. To do this the U.S. will have to provide assistance to Israel; if Nasser asks us to squeeze Israel and to withhold aid at the same time, he is asking the impossible. If we can achieve Israeli agreement to withdraw, we would ask Nasser to have his representative meet with the Israelis and Jarring to negotiate detailed security arrangements. The U.S. would take an active part in that negotiation. The U.S. would expect that, after agreement, Soviet combat personnel would be withdrawn. In conclusion, Nasser has an important choice to make: If he uses our provision of aircraft to Israel as a pretext for encouraging attacks on U.S. installations elsewhere, then Israel will get the planes without being pressed to withdraw.

--Make this approach to Israel: (1) The U.S. will prepare beginning in September to provide another 25 Phantoms and 40 Skyhawks to be added to present deliveries at the present rates but this must remain secret; the U.S. is prepared to discuss additional requirements in January 1971; the U.S. is prepared to discuss a five-year program of economic assistance. (2) Soviet involvement introduces an element which Israel alone cannot handle regardless of how much equipment the U.S. supplies. Since the U.S. is potentially involved, the U.S. must have a voice in determining the issue on which it becomes involved. The U.S. cannot base that involvement on Israel's right to negotiate major changes in its boundaries. (3) The U.S. therefore wants the Prime Minister's assurance that Israel will withdraw to pre-war borders if the Arabs commit themselves to live at peace and agree to arrangements for enforcing the peace which do not involve Israel's acquisition of territory. [Discussions on military

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and economic assistance could proceed, but no deliveries or disbursements would take place until the Israelis had responded satisfactorily. U.S. leverage would rest on the statement that the U.S. cannot go on supporting Israel unless Israel commits itself to withdraw in a peace settlement and the implied threat of reducing deliveries to a minimal flow.]

--Tell the USSR the same thing we tell the UAR. Suspend for the time being any plans to reduce the size of the Sixth Fleet. Perhaps reinforce the Sixth Fleet with additional anti-submarine warfare capability.

Comment: The purpose of this approach would be to face the USSR with a Vietnam-type involvement against a well-supplied Israel but at the same time to provide an escape via a settlement. The USSR would have to weigh the disadvantage of letting the U.S. out of its present box against the disadvantage of that sort of involvement. The USSR could expect enough tension to remain for its exploitation even after a settlement. This approach would have for the U.S. the advantage of going far enough on the key issues -- boundaries -- to justify realistic hope for a settlement while at the same time offering a sizeable enough inducement to Israel to make an Israeli concession conceivable.

This would seem to combine the best mix of responses to the basic considerations of strategy described above. It would provide Israel with a substantial incentive to cooperate while making clear that the U.S. will not back an Israeli strategy that is likely to produce a U.S. confrontation with the USSR. It is a strong enough response, however, to indicate to the USSR that we mean to stand firm. It would have promise for the Arabs of U.S. pressure on Israel to withdraw.

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